Personal Finance Report

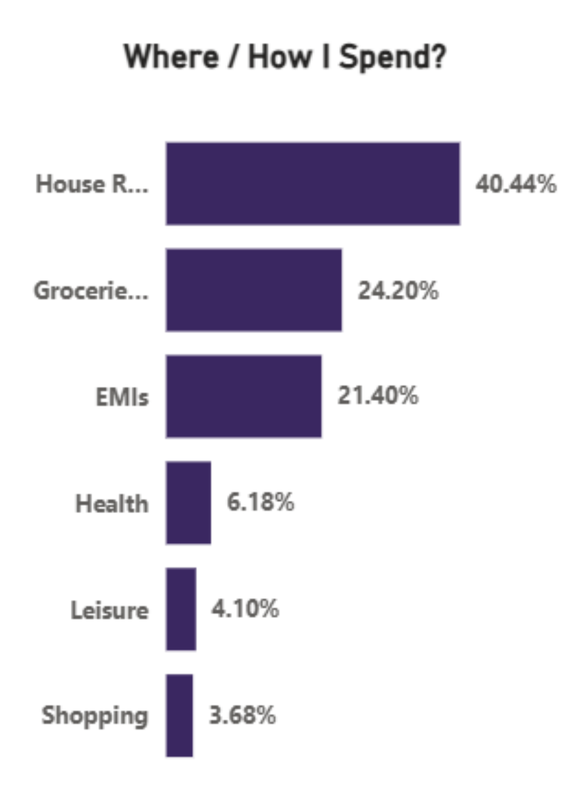
Prepared by Md Najish

Project Overview

This project focuses on analysing personal financial data
to understand income patterns, spending behaviour,
and savings trends. Using SQL for Exploratory Data Analysis (EDA)
and Power BI for visualization, the objective is to derive actionable
insights that improve financial decision-making.

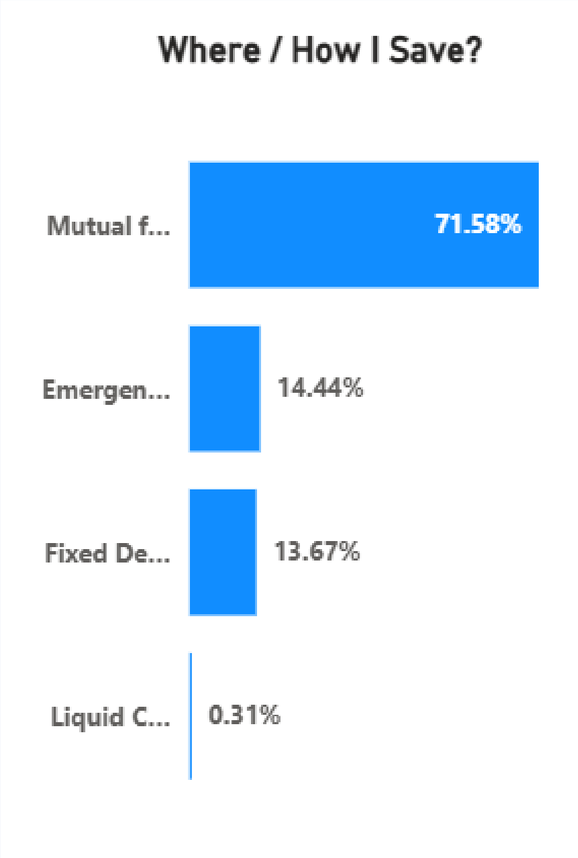
Major Spending Categories

Major categories such as rent, groceries, and EMI account for 84% of total expenses, highlighting key areas for potential cost optimization and effective budget management strategies.



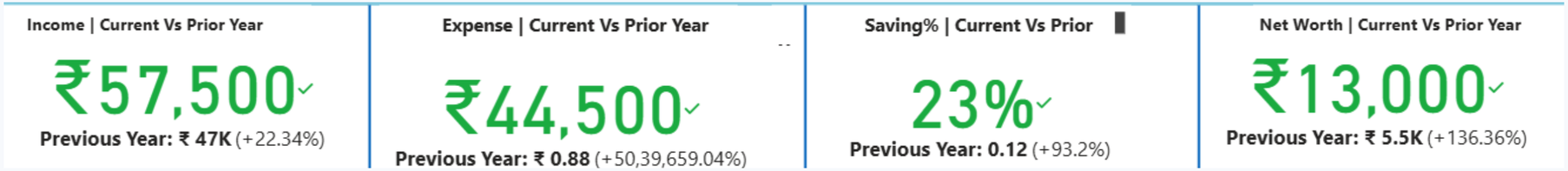
Savings Allocation Percentage

Approximately 65% of total savings are allocated to mutual funds and fixed deposits, indicating a balanced approach toward risk and liquidity in financial planning.



Key Performance Indicators

Monitoring Financial Performance Effectively



Total Income

Total income reflects the cumulative earnings from all sources, providing a clear understanding of financial capacity to manage expenses and savings effectively over time.

Total Expenses

Total expenses represent the sum of all outgoing costs, highlighting areas of spending and enabling better budget management to optimize financial health and achieve savings targets.

Total Savings

Total savings reflect the overall financial health, indicating how much is set aside for future use. Monitoring this enables better planning and readiness for unexpected expenses.

Expense Insights

Understanding expense concentration dynamics

Major Expense Categories

Rent, Groceries, and EMI account for 84% of total expenses, indicating a significant concentration that can influence overall financial management and budget allocation decisions for individuals.

Income-Expense Correlation

A strong positive correlation exists between income and expenses, highlighting the need for careful budgeting. As income increases, expenses often rise, necessitating vigilant financial planning and awareness.

Expense Correlation

Relationship Between Income and Expenses

Expense Concentration

A staggering 84% of total expenses are allocated to just three categories: rent, groceries, and EMI, illustrating a strong concentration of spending in essential areas.

Positive Correlation

There is a strong positive correlation between income and expenses, indicating that as income increases, expenses tend to rise proportionately, highlighting the need for balanced financial management.

Cost Optimization

Strategies for Reducing Major Expenses

Target Rent

Consider negotiating lease terms or relocating to reduce rent expenses. Cutting down on housing costs can significantly improve overall financial health and free up resources for savings.

Reduce Groceries

Implementing meal planning and shopping lists can optimize grocery spending. By making informed choices and avoiding impulse buying, substantial savings can be achieved in this category.

Enhancing Savings Strategy

Improve saving targets and fund allocation

Set Realistic Goals

Establishing achievable saving targets ensures consistent progress towards financial objectives, allowing for adjustments based on actual income and expenses, ultimately fostering a healthier savings habit.

Track Monthly Progress

Regularly monitoring savings allows individuals to evaluate their financial health, recognize trends, and make informed decisions regarding spending and saving, driving better financial outcomes over time.

Thank You

QUESTIONS AND NEXT STEPS

I appreciate your attention to the presentation.
Please feel free to ask questions or discuss the next steps regarding our analysis